

Corporate Actions, IPO & RTA

Understand issue processing and investor entitlements from announcement or bid capture through validation, allotment and settlement.

1. What is a corporate action?

ANSWER

A corporate action is an event initiated by an issuer that affects its securities or holders, such as dividends, rights issues, splits, buybacks, mergers or tender offers.

EXAMPLE

A listed company announces a cash dividend to eligible shareholders.

2. What is a mandatory corporate action?

ANSWER

It is an event applied automatically to eligible holders, generally without an election from the investor.

EXAMPLE

A cash dividend or stock split is usually processed automatically for eligible positions.

3. What is a voluntary corporate action?

ANSWER

It requires the holder to decide whether and how to participate, usually by submitting an election before a deadline.

EXAMPLE

A tender offer may allow investors to choose whether to tender shares.

4. What is a rights issue?

ANSWER

A rights issue offers existing shareholders rights to buy additional shares, often at a specified subscription price, typically in proportion to existing holdings.

EXAMPLE

A holder receives 1 right for every 5 shares and can subscribe before the deadline.

5. What is a buyback?

ANSWER

A buyback occurs when a company repurchases its own shares, potentially through market purchases or a tender process.

EXAMPLE

Shareholders may tender shares into a fixed-price buyback offer.

6. What is a stock split?

ANSWER

A stock split increases the number of shares while proportionally reducing price per share, leaving total economic value broadly unchanged at the split moment.

EXAMPLE

In a 2-for-1 split, 100 shares become 200 shares at roughly half the prior price.

● Issue / Event



● Capture / Validate



● Eligibility / Allot



● Settle / Pay

7. What is a reverse split?

ANSWER

A reverse split reduces the number of shares while increasing price per share proportionally.

EXAMPLE

In a 1-for-10 reverse split, 1,000 shares become 100 shares.

8. What is ex-date?

ANSWER

The ex-date is the date from which a buyer of the security is generally not entitled to the upcoming distribution under the applicable market convention.

EXAMPLE

Buying on or after the ex-dividend date generally means the buyer does not receive that announced dividend.

9. What is record date?

ANSWER

Record date is the issuer's cut-off date for identifying registered holders eligible for the corporate action, subject to market settlement rules.

EXAMPLE

The issuer checks holders on the record date to determine dividend entitlement.

10. What is payment date?

ANSWER

Payment date is when cash, securities or other consideration from the corporate action is distributed to entitled holders.

EXAMPLE

Dividend cash is credited to eligible accounts on the payment date.

11. What is entitlement calculation?

ANSWER

Entitlement calculation determines the amount of cash, securities or rights due based on eligible position and event terms.

EXAMPLE

If dividend is 2 per share and position is 500 shares, gross entitlement is 1,000 before tax/fees.

12. What are common corporate-action operational risks?

ANSWER

Key risks include missed elections, incorrect positions, wrong event terms, tax errors, late notifications, cash/stock mis-posting and reconciliation failures.

EXAMPLE

Missing a voluntary tender deadline can cause a client to lose the opportunity to participate.

13. How would you investigate a corporate-action break?

ANSWER

Validate event announcement, key dates, eligible position, election, rate, tax, FX, custodian credit and internal booking; compare expected versus actual and document the root cause.

EXAMPLE

A dividend difference may be caused by tax withholding rather than an incorrect position.

● Issue / Event



● Capture / Validate



● Eligibility / Allot



● Settle / Pay

14. Why is position reconciliation important before corporate actions?

ANSWER

Entitlements depend on eligible positions, so unresolved position breaks can produce wrong payments or stock allocations.

EXAMPLE

A 100-share position difference can directly cause an incorrect dividend amount.

15. What is an IPO allotment process at a high level?

ANSWER

Applications/bids are collected and validated, issue data is reconciled, invalid entries are rejected, allocation rules are applied, allotment/non-allotment outcomes are finalized, funds and securities are settled and reporting is completed. Exact workflow depends on market rules.

EXAMPLE

A bid failing validation may appear in a technical rejection report before allotment.

16. What is a technical rejection in issue processing?

ANSWER

A technical rejection is an application rejected due to rule-based or data-related deficiencies rather than allocation scarcity, according to the specific issue and market rules.

EXAMPLE

An application with invalid bid data may be excluded before allotment.

17. What is an open offer?

ANSWER

An open offer is an offer to acquire shares from public shareholders, commonly arising in takeover or control-change contexts subject to local regulations.

EXAMPLE

Eligible shareholders may tender shares during the offer period.

18. What controls matter in IPO/RTA operations?

ANSWER

Key controls include bid/data validation, reconciliation to bank/exchange files, maker-checker review, technical rejection checks, allotment controls, fund reconciliation and regulatory reporting accuracy.

EXAMPLE

BSE/NSE bid data is compared with bank certificates and internal records before final processing.

19. What is non-allotment?

ANSWER

Non-allotment means an applicant does not receive shares, either because of allocation outcome or ineligibility depending on issue rules.

EXAMPLE

In an oversubscribed issue, some valid applications may receive no shares.

20. What is corporate-action election risk?

ANSWER

Election risk is the risk that a voluntary instruction is missing, late, incorrect or transmitted to the wrong option, resulting in financial or client impact.

EXAMPLE

An investor intended to accept a tender but the instruction missed the custodian cut-off.